

THE INVESTOR GUIDE

5 questions every investor should ask *before they buy.*

A short field guide for Greater Boston investors evaluating their next acquisition. The questions inside are the ones that separate the deals that build wealth from the deals that just look like they will.

BEFORE YOU START

Most investors chase yield, *not* *return*.

Cap rate. Cash on cash. Pro forma rent. Those are the numbers most investors lead with, and they are the numbers most listings are written to flatter. They are also the numbers that quietly leave out everything that actually determines whether a property builds wealth or eats it. Operating reserves. Capex. Vacancy. The financing structure. The exit. The five years no one underwrites for you.

The investors I see compound real wealth in Greater Boston do not anchor to one metric. They underwrite the full picture before they write the offer, they pressure test it against conditions that have not happened yet, and they walk away from more deals than they buy. These are the five questions I run every investor through before we even open the spreadsheet.

How to use this guide

Read all five. Sit with the ones that surprise you. Bring the answers, or the questions you cannot answer, to whoever you trust to help you decide. Or bring them to me on a 30 minute strategy session. There is no commitment to buy.

01

QUESTION ONE · THE FULL RETURN

What is the total return on this property, *not just the cash flow?*

WHY IT MATTERS

Most investors lead with cap rate or cash on cash and stop there. Those numbers tell you what the property generates today, in isolation, before the rest of the math has weighed in. A 5% cap rate property and a 7% cap rate property can build wildly different wealth over the same hold period. The headline number is the start of the conversation, not the answer.

Total return is what you actually keep. Cash flow plus principal paydown plus appreciation plus the tax shelter from depreciation, stacked across your hold period, weighed against the cash you put in. A modest cap rate in a strong Greater Boston submarket can outperform a higher cap rate in a softer one once the other three columns are filled in. The right deal is the one that wins on the full sum, not on the line that fits in a headline.

WATCH OUT FOR

A listing or a pitch that leads with cap rate alone. Ask for the full five year picture, all four return drivers, written down.

02

QUESTION TWO · THE PRO FORMA

What does the seller's pro forma *quietly leave out*?

WHY IT MATTERS

Pro formas are marketing documents. They are built to make the deal look as good as it can legally look. Rents often show up at projected market, not actual. Vacancy often shows up at 5% when the building has been running at twice that. Capex reserves are often missing entirely. Water and sewer in Greater Boston rarely lands at the number you will actually pay.

The real underwrite normalizes everything. Actual rents, not market rents, with a separate column for the upside if you execute. Realistic vacancy for the submarket and the unit count. Real expenses pulled from comparable buildings, including the line items local owners know are coming. A reserve for capex that reflects the age of the roof, the boiler, the windows, and the parking lot. The pro forma tells you what the seller hopes the building will do. The underwrite tells you what it actually does.

WATCH OUT FOR

Any expense line that looks suspiciously round, and any pro forma that does not break out water and sewer, snow, lead paint compliance, and capex reserve separately.

03

QUESTION THREE · THE HOLD

How long do you actually plan to own this property, *and what is the exit?*

WHY IT MATTERS

Most investors buy without an exit in mind, and most of the time that is fine until it is not. A property bought to flip and held for ten years is a different investment than the one you analyzed. A property bought to hold forever and sold in year four because life changed is a different investment too. The hold period quietly drives every other decision, from the financing structure to the capex schedule to which tenants you sign.

Pick the hold first, then build the deal around it. A short hold rewards financing that is cheap to enter and easy to exit, a light touch on capex, and a tenant strategy that protects the resale. A long hold rewards locking in financing while you can, doing the heavy capex early, and signing tenants who will compound the value over a decade. The same building bought two different ways is two different investments. The hold is the question that decides which one you are actually buying.

WATCH OUT FOR

*A deal that only pencils if you hold it for a very specific number of years.
Stress test the math against a forced exit two years early.*

04

QUESTION FOUR • THE LEVERAGE

How does the financing structure *change the math*, the risk, and the return?

WHY IT MATTERS

Most investors negotiate hard on price and then take whatever financing they can get. The price gets the attention. The financing quietly determines what the deal actually returns and what it can survive. Same property, 25% down at one rate, looks completely different at 35% down at another rate, looks different again with seller financing or a portfolio loan or a DSCR product. The cash on cash, the breakeven occupancy, and the downside all move with the loan, not with the price.

Underwrite the financing the way you underwrite the property. What does the deal return at three different leverage points. What rate would have to move to where for the deal to stop working. What does the refinance look like in year five, given where rates are likely to be and where this building's value is likely to be. The financing is half the deal. Treat it like it.

WATCH OUT FOR

Anyone who tells you the price is the deal. The price is one variable. The structure is the rest of them.

What happens to this deal *if rents soften, vacancy rises, or rates reset?*

WHY IT MATTERS

Every pro forma assumes today's conditions continue. Today's rents, today's vacancy, today's expenses, today's rate. Markets do not work that way. Rents soften in some cycles and surge in others. A tenant moves out and a unit sits for four months instead of four weeks. A boiler fails the week after closing. A rate that was comfortable in year one comes due in year five and resets to something else. A deal that only works in one scenario is a deal that depends on luck.

Run the numbers against three scenarios before you write the offer. Rents 10% lower than projected. Vacancy meaningfully higher than projected. Rates a point and a half higher at refinance. If the deal still survives, even at a lower return, you are buying a real investment. If the deal only works in the optimistic case, you are buying a hope. The investors who compound through cycles are the ones whose deals can take a punch.

WATCH OUT FOR

Underwrites that only show the base case. Ask for the downside scenario in writing, with the assumptions named.

READY WHEN YOU ARE

Want a second set of eyes *on a deal?*

These are not the only questions worth running before you buy. They are the ones I have watched separate the investors who build real Greater Boston portfolios from the ones who chase a single number and learn the hard way. If you want to walk through them on a specific deal with me, that is what a strategy session is for. No commitment to buy.

Book my strategy session

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Krista Recker Properties

Strategy first. Decisions backed by data.